colleagues to stabiles the rupee at 1s 6d are accepted and acted upon, India will be faced during the next few years with a disturbance in her economic organization, the magnitude of which is difficult to estimate, but the consequences of which may not only hamper her economic development but may even prove disastrous.'[16]

But there were some who disagreed with Purshotamdas on the ratio question. One of them was J.C. Coyajee, his colleague on the Commission who had signed the Majority Report. Coyajee thought that Purshotamdas exaggerated the extent of deflation to maintain the 1s 6d rate. He also believed that Purshotamdas exaggerated the losses to cultivators resulting from a rise of the ratio to 1s 6d. He said that since 1924, the prices of most of the agricultural products had risen substantially and the farmers had gained commensurately. Coyajee also drew attention to other inconsistencies. While Purshotamdas asserted that the government had resorted to drastic deflation on the one hand, on the other he claimed that the deflation had had very little effect on prices. Purshotamdas asserted that the higher ratio had hurt the agriculturist because he had to pay his debts and land revenue in an appreciated rupee but at the same time denied that the prices had adjusted themselves to the rate of exchange. If the rupee price had appreciated by 12.5 percent did this not mean that the rupee prices had adjusted themselves to the rise of the exchange by 12.5 percent from 1s 4d to 1s 6d? In his Minute Purshotamdas asserted that the adjustment was only 30 percent but in an article in *The Times of India* on November 27, 1926, he admitted that it was 73 percent.

A Gold Bullion Standard

A major demand of Indian capitalists like Purshotamdas was the establishment of an effective gold standard with gold currency in India instead of the gold exchange standard. The main reason adduced in favour of this demand was that this would prevent the government from manipulating the Indian currency system to its own advantage as well as for the benefit of the London money and bullion markets. The Hilton Young Commission as we have seen recommended a gold bullion standard. Purshotamdas supported this with the proviso that on no account should there be interference in the inflow of gold into India by executive action or